

agement system. “For this, we need to sub-contract [to a small business]. The MSME owner, after completing the work, would ask for payment within 45 days,” he says, adding that as this is a specialised field, his company needs to conduct quality checks, scrutinise the work, and so on before it can pay the MSME. Plus, the government, “which gave us the order, takes a lot of time to process payments... the government itself delays payments. So, for how long will we keep paying [MSMEs] from our pockets?” he asks, saying he now chooses to sub-contract to larger businesses.

Many small businesses have, in fact, faced such problems with their customers. Some have even decided to give up their MSME registration or set up smaller units without such registrations. Others, as Tanna of FAIVM points out, have cut down production or shifted to a five-day week as they are unable to stock products until the payment is made.

K.E. Raghunathan, National Chairman of the Association of Indian Entrepreneurs (AIE), underlines that the number of MSME registrations have gone down as many firms have given up their registrations to prevent the cancellation of orders. “The damage has already been done as it came into significance in the last quarter of a fiscal year,” Raghunathan says, adding that this provision will once again have an impact in the last quarter of the current fiscal, when companies close their annual accounts. But he cautions that any relaxation of the payment period to 120 days, as some of the traders have sought, will not help MSMEs as it will dilute the very purpose of this rule.

“Unfortunately, the government neither prevented such damage nor took corrective action at the appropriate time. The only resolution is to withdraw this directive forthwith and devise a suitable alternative strategy for the problem,” he says.

However, Anil Bhardwaj, Secretary General of the Federation of Indian Micro and Small & Medium En-

terprises (FISME), says that the impact of this provision has by and large been absorbed by MSMEs in the manufacturing sector. “Supply chains are now running according to this rule,” he says, but notes that the problem continues for traders, particularly those who are wholesalers and distributors. “They purchase goods from manufacturing MSMEs and supply

it to smaller buyers. They can only make payments to the manufacturing suppliers after being paid by the smaller buyers,” he says, adding that the textiles and garments sector—especially in Surat, Ludhiana and Amritsar—have been the most vocal against this rule.

The challenge now lies in how the income tax provision can be changed as the current MSME Development (MSMED) Act already has the 45-day provision for delayed payments, beyond which buyers have to pay penal interest rates at three times the notified bank rate. Businesses can also file an application under the Samadhaan portal for redressal or go in for arbitration, which can often be a lengthy process. Experts also note that government agencies must also be brought under this clause.

Mukesh Mohan Gupta, President of the Chamber of Indian MSMEs, suggests that the Udyam registration—that certifies that a business is classified as an MSME by the government—should be mandatory for all MSMEs and automatically issued during the incorporation of the entity, like GST, Employees’ Provident Fund and Employees’ State Insurance scheme. This, he argues, would eliminate the threat of order cancellations if all MSMEs were registered with the Udyam portal.

However, with many small businesses still under duress, it is likely that the government will try and find a solution. How the policy changes will resolve these differing viewpoints while remaining in sync with the MSMED Act will be interesting to watch. **BT**

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STATUS CHECK

- The MSME Samadhaan portal monitors cases of delayed payments
- Business owners can file applications with Micro, Small & Medium Enterprises Facilitation Councils (MSEFCs) for settlement of claims

196,311

Number of applications filed by MSMEs

18,121

Applications mutually settled

48,961

Applications yet to be viewed by MSEFCs

52,398

Applications rejected by MSEFCs

DATA AS OF JUNE 28, 2024
SOURCE MSME SAMADHAAN PORTAL